Converting pensions into income

On retirement, savers can invest the money from their pension to give themselves a fixed regular income, withdraw cash in one or more lump sums, or opt for a combination of both options.

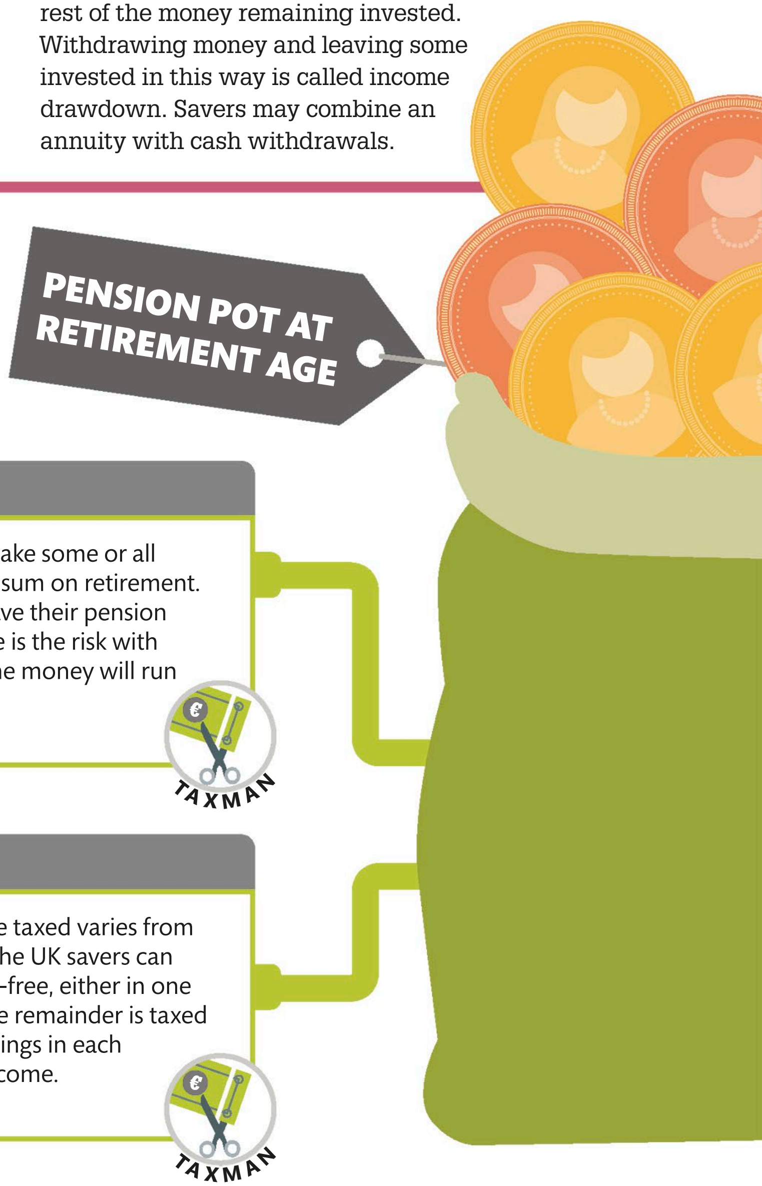
How it works

There are two main options for turning pension savings into income. The first involves buying an insurance product that will provide a fixed sum as either a monthly or annual income for life. This is called an annuity, and may also be known as "steady payments" or "a retirement income stream".

The second option is to take out pension savings as cash, in one or more lump sums, with the rest of the money remaining invested. Withdrawing money and leaving some invested in this way is called income drawdown. Savers may combine an annuity with cash withdrawals.

Pension fund options

The options available to retirees will depend on the type of pension they have (defined benefit or defined contribution), the size of their pension pot, and the laws and tax rules of the country they live in.



Cash lump sum

Some pension plans allow savers to take some or all of their pension fund as a cash lump sum on retirement. Retirees can then spend, invest, or save their pension money as they see fit. However there is the risk with this approach that, sooner or later, the money will run out, especially if they live a long life.

Tax-free percentage

The way in which pension savings are taxed varies from country to country. For example, in the UK savers can take 25 per cent of the lump sum tax-free, either in one go or in a number of instalments. The remainder is taxed at the marginal rate (the rate on earnings in each income tax band) alongside other income.